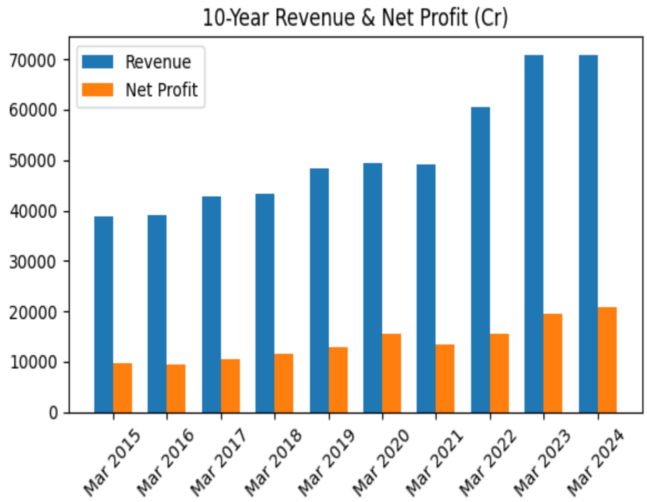
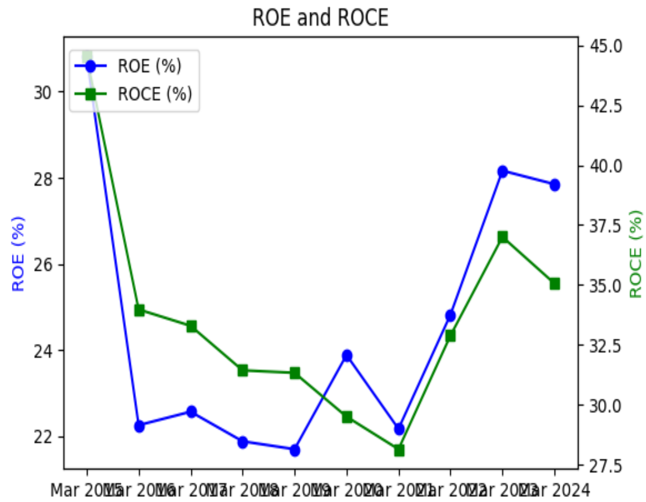
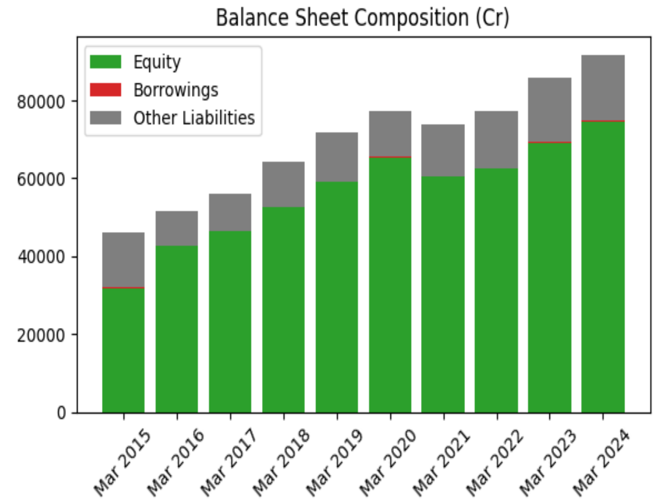
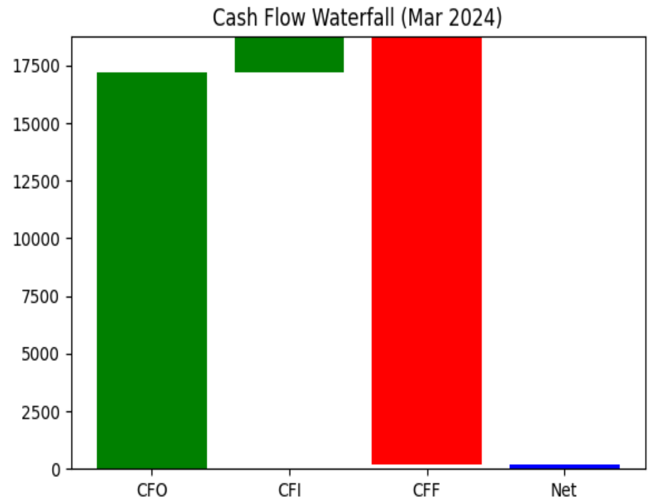
ITC Ltd (ITC)

Revenue ■75,135 Cr	**Net Profit** ■20,829 Cr	**ROE** 27.9%
ROCE 35.1%	**CFO Quality** Moderate	**Allocation** Liquidating Assets









Pros

- Very high interest coverage ratio reflects negligible financial stress from debt servicing
- Growing asset base funded by internal accruals reflects self-sustaining growth
- Consistent dividend yield above 2% backed by positive free cash flow
- Strong free cash flow generation over 5 years signals healthy business fundamentals
- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Debt-free balance sheet provides financial flexibility and eliminates interest burden
- Consistently high return on equity above 20% demonstrates exceptional capital efficiency
- Revenue growing slower than profits shows improving operating leverage and scale benefits

Cons

- Dividend payout ratio above 100% means the company is paying dividends from reserves, which is unsustainable

Capital Allocation Pattern: Liquidating Assets